

will have accumulated less than half the profits we would from using a low-cost index fund.

Warren Buffett once said:

Most investors, both institutional and individual, will find that the best way to own common stocks is through an index fund that charges minimal fees. Those following this path are sure to beat the net results (after fees and expenses) delivered by the great majority of investment professionals.²⁰

Buffett puts his own money where his mouth is. Buffett's Berkshire Hathaway stock will go to charity after his death. For his heirs, Buffett has instructed the trustees of his estate to place 10% of what remains into short-term government bonds and 90% into a low-cost S&P 500 Index fund.

Researchers have been saying for many years that actively managed mutual funds offer no aggregate advantage over passively managed index funds. Passive index funds that were nonexistent in 1975 now account for almost 30% of the investment fund market. Yet actively managed funds still have more than twice the assets as passively managed ones.

OTHER ACTIVE INVESTMENT MANAGEMENT

There is more money actively managed outside than inside mutual funds. *Pensions & Investments* reported that the top 500 global asset managers held \$62 trillion in assets under management in 2011, while the Investment Company Institute reported worldwide mutual fund assets of \$23.8 trillion that same year. As for active investment management performance outside mutual funds, Busse, Goyal, and Wahal (2010) studied 4,617 domestic equity institutional products managed by 1,448 investment management firms from 1991 through 2008. They found risk-adjusted returns of these managers to be statistically indistinguishable from zero. The fees for active management came to 100% of the incremental returns earned over widely available passive alternatives. In the words of Eugene Fama, "After taking risk into account, do more managers than you'd see by chance outperform with persistence? Virtually every economist who studied this question answers with a resounding 'no'."